

Employees' Provident Fund

The complete guide — what really reaches your account each month, the 8.25% that quietly compounds, and the withdrawal rules that were rewritten from scratch in July 2026.

WHAT A SALARIED CAREER CAN BUILD

₹
10,000

INTO EPF EVERY MONTH, FOR 30
YEARS



₹
1.48 Crore

AT 8.25% A YEAR — RATE IS DECLARED
YEARLY

8.25%

declared for FY 2025-
26

**12% +
3.67%**

you and your
employer, into EPF

25%

minimum balance that
must stay in

EPFO

government-backed,
not market-linked

1. What EPF actually is

EPF is a compulsory retirement savings account for salaried employees, run by the Employees' Provident Fund Organisation. You contribute a fixed percentage of your wages every month, your employer contributes a matching amount, and the whole balance earns a rate of interest that the government declares once a year. It is **not market-linked** — there are no NAVs and no daily movement. For most salaried Indians it is the single largest retirement asset they will ever own, and the one they understand least.

The most important thing to know before you read further. The Employees' Provident Funds Scheme, 1952 **no longer exists**. It was superseded by the **EPF Scheme, 2026** (G.S.R. 525(E), notified 29 June 2026, in force from 1 July 2026) under the Code on Social Security, 2020, alongside the **EPS, 2026** (G.S.R. 527(E)) and the **EDLI Scheme, 2026** (G.S.R. 526(E)), both in force from 30 June 2026. Supersession carries the usual savings clause, so things already done under the 1952 scheme are not undone. Almost every article, calculator and HR handout online still quotes the old scheme — especially the “paragraph 68” withdrawal rules, which have been deleted. This guide uses the 2026 scheme throughout.

2. Who is covered

Employers covered	Any establishment employing 20 or more persons in a scheduled industry, plus establishments that opt in voluntarily
Employees covered	Compulsory for every employee whose wages are up to the wage ceiling on joining
Excluded employee	Broadly, someone who has already withdrawn full benefits on retirement or permanent emigration, or who earns above the ceiling on joining and has not opted in
Earning above the ceiling	You can still join voluntarily, but it needs the joint written consent of you and your employer. It is not automatic and your employer can decline.
Already a member	Once you are a member, crossing the ceiling later does not throw you out. Membership continues.

3. What “12%” is actually 12% of

This is where nearly every explanation of EPF goes wrong, including many written by professionals.

It is not “basic + DA” any more. Under the EPF Scheme, 2026 the 12% is levied on “wages” as defined in the Code on Social Security, 2020. That definition includes basic pay, dearness allowance and retaining allowance, and it carries a **50% deeming rule**: if the excluded allowances (HRA, conveyance, overtime, commission and the like) exceed **half of your total remuneration**, the excess is **added back** and treated as wages. So a salary deliberately structured as a small basic and a large allowance stack no longer escapes EPF. Ask your payroll team which base they are using — many are still on basic + DA.

4. Where each rupee goes

Your contribution	12% of wages — all of it goes into your EPF account
Employer — EPS share	8.33% of wages to the Employees’ Pension Scheme, capped at ₹1,250 a month (8.33% of the ₹15,000 ceiling)
Employer — EPF share	3.67% of wages into your EPF account. Where contributions are made on wages above the ceiling, this becomes “12% minus ₹1,250”.
Above the wage ceiling	Under the 2026 scheme, mandatory contributions stop at the ₹15,000 ceiling — a maximum of ₹1,800 a month from each side. Contributing on higher wages is now expressly voluntary, and the employer is not obliged to match it.
Central Government share	1.16% of wages up to the ceiling, paid into EPS by the Central Government — not by you or your employer
EDLI	0.5% of wages, capped at ₹75 a month, paid by the employer for life insurance cover
Administrative charges	0.5% of wages, minimum ₹500 a month per establishment, paid by the employer. EDLI administrative charges are nil since 1 April 2017.
Concessional rate	10% instead of 12% for certain notified establishments — broadly those with under 20 employees, sick units, and a few specified industries

You pay nothing towards EPS, EDLI or administration. Every one of those comes from the employer’s side. Your 12% goes entirely into your own provident fund balance.

5. The ₹15,000 ceiling — and the ₹25,000 that has not happened

The statutory wage ceiling for compulsory coverage is ₹15,000 a month, re-notified by S.O. 2702(E) dated 29 May 2026. That is the operative number today.

Do not plan around ₹25,000 yet. A revision of the ceiling to ₹25,000 has been widely reported and the proposal was cleared at Finance Ministry level (reported August 2026), but as at September 2026 it has **not been notified** and **Union Cabinet approval is still pending**. On **5 January 2026** the Supreme Court, in *Naveen Prakash Nautiyal v. Union of India* (W.P.(C) 1134/2025), **did not order any increase** — it disposed of the petition, directing the petitioner to file a representation within two weeks and the Union to take a decision in accordance with law within four months of it. That period has passed with no notification. Until a gazette notification appears, ₹15,000 is the law. Treat every article announcing the change as a forecast.

6. What the ceiling means in rupees

MONTHLY WAGES	YOU PAY (12%)	TO EPS	TO YOUR EPF FROM EMPLOYER	TOTAL INTO EPF
₹15,000	₹1,800	₹1,250	₹550	₹2,350
₹25,000	₹3,000	₹1,250	₹1,750	₹4,750
₹50,000	₹6,000	₹1,250	₹4,750	₹10,750
₹1,00,000	₹12,000	₹1,250	₹10,750	₹23,000

Rows above ₹15,000 assume the employer contributes on full wages rather than restricting to the ceiling. Many employers legally restrict their own share to 12% of ₹15,000 = ₹1,800 a month; check your payslip and your appointment letter. The EPS share is capped at ₹1,250 in every case.

The 8.33% cap is quietly important. Because EPS is frozen at ₹1,250 a month, almost the whole of your employer's contribution flows into your own EPF balance as your salary rises — which is why high earners build large EPF corpora but small EPS pensions.

7. The rate, and how it is worked out

Rate for FY 2025-26	8.25% a year, recommended by the Central Board of Trustees at its 239th meeting on 2 March 2026 and credited to member accounts from July 2026, under an EPFO circular dated 9 July 2026
Rate for FY 2026-27	Not yet declared. The Board normally decides in February or March, after the year has run.
How interest is calculated	On the monthly running balance, at one-twelfth of the annual rate, and then credited once at the end of the financial year
Guaranteed?	No. The rate is declared each year and requires Government approval. It has been reduced before.

Recent history

FINANCIAL YEAR	RATE DECLARED
FY 2021-22	8.10%
FY 2022-23	8.15%
FY 2023-24	8.25%
FY 2024-25	8.25%
FY 2025-26	8.25%

Why the credit appears late. Because interest is computed only after the year closes, your passbook can show contributions for months with no interest against them. The interest is not missing — it is credited in one entry, usually a few months into the next financial year, backdated to 31 March.

8. Illustrative corpus at 8.25%

Assuming the amount shown reaches your EPF account every month for 30 years, with interest on the monthly running balance credited annually. These are illustrations at a constant rate, not promises — the rate is declared each year and your wages, and therefore your contribution, will rise over a career.

INTO EPF MONTHLY	YOU AND YOUR EMPLOYER PUT IN	BALANCE AFTER 30 YEARS	INTEREST EARNED
₹2,350	₹8,46,000	₹34,94,308	₹26,48,308
₹5,000	₹18,00,000	₹74,34,697	₹56,34,697
₹10,000	₹36,00,000	₹1,48,69,394	₹1,12,69,394
₹15,000	₹54,00,000	₹2,23,04,091	₹1,69,04,091
₹20,000	₹72,00,000	₹2,97,38,788	₹2,25,38,788

The first row is the amount that reaches EPF at exactly the ₹15,000 wage ceiling (₹1,800 from you plus ₹550 from your employer). Rounded to the nearest rupee.

9. Why time matters more than the amount

₹5,000 A MONTH INTO EPF FOR	TOTAL PUT IN	BALANCE AT 8.25%
10 years	₹6,00,000	₹9,18,887
15 years	₹9,00,000	₹17,35,410
20 years	₹12,00,000	₹29,49,099
25 years	₹15,00,000	₹47,53,143
30 years	₹18,00,000	₹74,34,697
35 years	₹21,00,000	₹1,14,20,594

The last five years of a 35-year run add more to the balance than the first fifteen years of contributions did. This is the whole argument against withdrawing your EPF when you change jobs.

10. Where you stand at 40, 50 and 60

The same 8.25% maths, read as a life instead of a number of years. Both tables below assume the amount shown reaches your EPF account every month without a break, and that you never withdraw.

If you start at 25

INTO EPF MONTHLY	BALANCE AT 40	BALANCE AT 50	BALANCE AT 60
₹2,350	₹8,15,642	₹22,33,977	₹53,67,679
₹5,000	₹17,35,410	₹47,53,143	₹1,14,20,594
₹10,000	₹34,70,819	₹95,06,285	₹2,28,41,189
₹15,000	₹52,06,229	₹1,42,59,428	₹3,42,61,783
₹20,000	₹69,41,638	₹1,90,12,571	₹4,56,82,377

If you start at 30

INTO EPF MONTHLY	BALANCE AT 40	BALANCE AT 50	BALANCE AT 60
₹2,350	₹4,31,877	₹13,86,076	₹34,94,308
₹5,000	₹9,18,887	₹29,49,099	₹74,34,697
₹10,000	₹18,37,775	₹58,98,198	₹1,48,69,394
₹15,000	₹27,56,662	₹88,47,297	₹2,23,04,091
₹20,000	₹36,75,549	₹1,17,96,396	₹2,97,38,788

Five years costs you a third of the corpus. At ₹10,000 a month, starting at 25 instead of 30 takes you from ₹1,48,69,394 to ₹2,28,41,189 by 60 — ₹79,71,795 more, for just ₹6,00,000 of extra contributions. Nothing else in this guide is worth as much as starting early and never withdrawing.

Read these as the floor, not the forecast. They hold your contribution flat for 35 years, which nobody's salary does. They also hold 8.25% constant — the rate is declared each year and has been lower. The next table shows the other side.

11. What happens when your salary rises

Your EPF contribution is a percentage of wages, so it goes up every time your wages do. The table below starts at 25 with the amount shown and increases the monthly contribution by 5% a year — a modest assumption for a salaried career.

STARTING MONTHLY	BALANCE AT 40	BALANCE AT 50	BALANCE AT 60
₹2,350	₹10,92,464	₹35,07,712	₹95,32,027
₹5,000	₹23,24,391	₹74,63,217	₹2,02,80,909
₹10,000	₹46,48,783	₹1,49,26,434	₹4,05,61,818
₹15,000	₹69,73,174	₹2,23,89,651	₹6,08,42,727
₹20,000	₹92,97,566	₹2,98,52,869	₹8,11,23,636

The 5% step-up nearly doubles the outcome. Starting at ₹10,000 a month at age 25, a flat contribution reaches ₹2,28,41,189 by 60. The same start with a 5% annual rise reaches **₹4,05,61,818** — and by then you are contributing about ₹52,500 a month, which is what a 12% deduction looks like on a senior salary.

Where these numbers can go wrong. Two things break the projection. **Withdrawing at a job change** resets both the balance and your five-year tax clock — the single most expensive mistake salaried Indians make with EPF. And a **lower declared rate**: at 8.00% instead of 8.25%, the ₹4.05 crore figure falls by about 4.6% to ₹3,86,83,999. Treat every figure here as an illustration at a constant rate, not a projection.

All figures computed on the EPFO method — interest on the monthly running balance at one-twelfth of the annual rate, credited at the end of each financial year. Rounded to the nearest rupee. Contributions assumed at each month end.

12. Thirty years at ₹10,000 a month

The full path at 8.25%. Look at year 30: the interest credited in that single year (₹11,29,042) is more than the ₹10,80,000 you contributed across the first nine years put together.

YEAR	OPENING	YOU ADD	INTEREST @8.25%	CLOSING
1	₹0	₹1,20,000	₹5,362	₹1,25,362
2	₹1,25,362	₹1,20,000	₹15,705	₹2,61,067
3	₹2,61,067	₹1,20,000	₹26,901	₹4,07,968
4	₹4,07,968	₹1,20,000	₹39,020	₹5,66,988
5	₹5,66,988	₹1,20,000	₹52,139	₹7,39,127
6	₹7,39,127	₹1,20,000	₹66,340	₹9,25,467
7	₹9,25,467	₹1,20,000	₹81,714	₹11,27,181
8	₹11,27,181	₹1,20,000	₹98,355	₹13,45,536
9	₹13,45,536	₹1,20,000	₹1,16,369	₹15,81,905
10	₹15,81,905	₹1,20,000	₹1,35,870	₹18,37,775
11	₹18,37,775	₹1,20,000	₹1,56,979	₹21,14,754
12	₹21,14,754	₹1,20,000	₹1,79,830	₹24,14,583
13	₹24,14,583	₹1,20,000	₹2,04,566	₹27,39,149
14	₹27,39,149	₹1,20,000	₹2,31,342	₹30,90,491
15	₹30,90,491	₹1,20,000	₹2,60,328	₹34,70,819
16	₹34,70,819	₹1,20,000	₹2,91,705	₹38,82,524
17	₹38,82,524	₹1,20,000	₹3,25,671	₹43,28,195
18	₹43,28,195	₹1,20,000	₹3,62,439	₹48,10,633
19	₹48,10,633	₹1,20,000	₹4,02,240	₹53,32,873
20	₹53,32,873	₹1,20,000	₹4,45,325	₹58,98,198
21	₹58,98,198	₹1,20,000	₹4,91,964	₹65,10,162
22	₹65,10,162	₹1,20,000	₹5,42,451	₹71,72,612
23	₹71,72,612	₹1,20,000	₹5,97,103	₹78,89,715
24	₹78,89,715	₹1,20,000	₹6,56,264	₹86,65,979
25	₹86,65,979	₹1,20,000	₹7,20,306	₹95,06,285
26	₹95,06,285	₹1,20,000	₹7,89,631	₹1,04,15,916
27	₹1,04,15,916	₹1,20,000	₹8,64,676	₹1,14,00,592
28	₹1,14,00,592	₹1,20,000	₹9,45,911	₹1,24,66,503
29	₹1,24,66,503	₹1,20,000	₹10,33,849	₹1,36,20,352
30	₹1,36,20,352	₹1,20,000	₹11,29,042	₹1,48,69,394

13. VPF — the same account, more of it

VPF is not a separate product. It is simply you choosing to contribute more than the compulsory 12% into the same EPF account, at the same declared rate, with the same tax treatment. For a salaried person in the old tax regime who wants a fixed-return debt allocation, it is one of the best rates available anywhere.

How much extra	Up to the limit in paragraph 19 of the EPF Scheme, 2026 — expressed as a share of your net wages, that is, wages remaining after the deductions permitted under the Code on Wages, 2019
Rate	Identical to EPF — 8.25% for FY 2025-26
Does the employer match it?	No. The employer has no obligation to match VPF and normally does not.
Lock-in	Same as EPF — there is no separate VPF lock-in and no separate withdrawal window
Changing your mind	Under the 2026 scheme, either you or your employer may reduce or stop the voluntary contribution. Earlier practice generally required it to continue for the financial year.
How to start	A written request to payroll. There is no EPFO form and no online option — it goes through your employer.

The common claim that “VPF can be up to 100% of basic + DA” is out of date. The 2026 scheme frames the cap against **net wages** under the Code on Wages, 2019, which is a different and generally smaller base. Ask your employer for the figure they will actually process before you commit to a number.

14. The tax position, provision by provision

The Income-tax Act, 2025 replaced the 1961 Act from 1 April 2026. New provisions are given first with the familiar old number in brackets.

Your contribution	Deductible under Sec 123 read with Schedule XV [old 80C], within the overall ₹1,50,000 limit. Not available in the new regime (Section 202).
Employer's contribution	The 12%-of-salary limit has been deleted — the Finance Act, 2026 omitted paragraph 6(a) of Part A of Schedule XI with effect from 1 April 2026, as it overlapped with the cap below. What remains is that aggregate cap alone.
The ₹7.5 lakh cap	Under Sec 17(1)(h) [old 17(2)(vii)], your employer's combined contributions to EPF, NPS and an approved superannuation fund are taxable as a perquisite above ₹7,50,000 a year, and the growth on that excess is taxable too. This applies in both regimes.
Interest earned	Exempt, but only up to a contribution threshold — see below
Withdrawal after 5 years	Fully exempt, no TDS

The interest threshold most people trip over

Interest on your own contributions above ₹2,50,000 in a financial year is taxable at your slab. Where the employer makes no contribution to the fund, the threshold is ₹5,00,000. Both limits continue to apply in FY 2026-27. Your provident fund balance is split into a taxable and a non-taxable account under Rule 277 of the Income-tax Rules, 2026 (successor to Rule 9D of the 1962 Rules), and the interest on the taxable portion is reported each year.

This is the ceiling on VPF as a strategy. Your 12% plus VPF should generally stay within ₹2,50,000 a year, or the extra interest is taxed at your slab and the case for VPF over other debt options weakens considerably. At the ₹2.5 lakh limit that is about ₹20,833 a month of your own contribution.

TDS on early withdrawal

- Five years of continuous service — withdrawal is exempt and no TDS applies. Service with earlier employers counts if you transferred the balance rather than withdrawing it.
- Below five years, TDS applies where the withdrawal is ₹50,000 or more — the threshold is unchanged. 10% with PAN, 20% without.
- The provision is now Section 392(7) of the Income-tax Act, 2025 [old Section 192A].
- Forms 15G and 15H no longer exist. From 1 April 2026 they are replaced by a single unified self-declaration, Form 121, under Rule 211 of the Income-tax Rules, 2026 read with Sections 393(6) and 393(7). If your estimated total income is below the taxable limit, file Form 121 with the EPFO trustees or authorised person — not 15G or 15H. Many EPF pages have not been updated for this.

15. The 25% Minimum Balance

The EPF Scheme, 2026 introduced a single concept that governs every partial withdrawal: a **Minimum Balance of 25%** of the aggregate of employee contributions, employer contributions and accrued interest must remain in the account after any advance.

Read “100%” carefully. EPFO’s own communication says you may withdraw “up to 100% of the eligible balance”. **Eligible balance means your corpus minus the 25% Minimum Balance** — so 100% of eligible balance is at most **75% of what you actually hold**. On a ₹10 lakh balance the maximum advance is ₹7,50,000, not ₹10 lakh. This is the single most misreported point in the new scheme.

The Minimum Balance applies to advances only. It does not restrict a **final settlement** on retirement, permanent emigration or the other grounds in paragraph 47 — there you receive the whole balance.

16. Advances under paragraph 46

Minimum service	12 months of membership, uniformly, for every category of advance. The old varying periods — five years for housing, seven for marriage and education — are gone.
Illness	No limit on how many times you may claim
Education	Up to 10 times in a lifetime
Marriage	Up to 5 times in a lifetime
Housing	Up to 5 times in a lifetime
Special circumstances	Twice a year, with no reason and no documentation required — self-certification replaces proof. A genuinely new facility.
Minimum withdrawal	₹1,000
Settlement time	20 days, with 12% penal interest payable by EPFO on delay beyond that

17. The rest of what changed in 2026

Two changes that catch people out

- The old thirteen withdrawal heads have been collapsed into three — essential needs, housing, and special circumstances — with self-certification in place of documentation for the third.
- Paragraph 68NN is gone. The 1952 scheme let you take up to 90% of the balance after age 54 in anticipation of retirement. The 2026 scheme has no equivalent. If you were counting on that, plan again.

Two changes in your favour

- A 20-day clock with teeth. A complete claim must be settled — or a deficiency flagged — within 20 days. Beyond that EPFO owes 12% a year penal interest, and the scheme makes it recoverable from the salary of the officer responsible. If your claim is sitting past 20 days, quote this.
- Self-certification. In the special-circumstances category, your own declaration replaces documentary proof. This is what makes the twice-a-year advance genuinely quick.

One structural change worth knowing

The 2026 scheme no longer hard-codes ₹15,000 into its text — it refers to “the wage ceiling notified by the Central Government”. The ceiling is now set by a separate notification, which means a future revision needs only an executive act rather than a scheme amendment. Practically: the number can change faster than it used to, so check it rather than assuming.

Three things worth confirming for yourself. Whether the twice-a-year special-circumstances counter runs on the financial year or a rolling twelve months is not clearly stated in public material. The **five-times cap on housing advances** appears in press reporting but I could not verify it against the gazette text. And EPFO’s member portal has been slower than the gazette in reflecting paragraph 46. Check the claim form on the Member Sewa portal before you rely on a category.

18. Taking the whole balance out — paragraph 47

Retirement	Full settlement on retirement from age 55
Retrenchment	Immediate full settlement, no waiting period. Applies to mass and individual retrenchment.
Permanent disability	Immediate full settlement
Voluntary Retirement Scheme	Full settlement on taking VRS
Permanent emigration	Full settlement, subject to proof
Contingencies	Factory closure, transfer to a non-covered establishment, or discharge with compensation — payment after a 2-month wait. Note that closure is not treated the same as retrenchment.
Leaving employment / resignation	12 months of continuous unemployment from the date of leaving. The old 2-month ground is abolished, and the "75% after one month, 100% after two months" framing is gone. Waived for a woman resigning on account of marriage.
EPS withdrawal benefit	There is no minimum service — even under six months of contributory service earns a proportionate benefit. The 36 months is a waiting period: claimable only 36 months after the last contribution fell due, or on reaching superannuation age, whichever is earlier. Ten years of eligible service is the threshold for a <i>pension</i> instead of a withdrawal benefit.

Age 55 and age 58 are not the same milestone. 55 is the age from which you can take full settlement on retirement. 58 is the EPS pension age, and — per EPFO's own FAQ — the age at which an account with no contributions becomes **inoperative** and stops earning interest. Sources routinely conflate the two.

19. Changing jobs

- Your UAN is for life. One number, Aadhaar-seeded, across every employer.
- Transfer, do not withdraw. Transfer preserves your five-year continuous-service clock for tax purposes and keeps the compounding running. Withdrawing resets both.
- Since April 2025, Form 13 transfer approvals are automated for most cases — near-automatic rather than fully automatic. EPFO removed the destination office's approval, but the transferring office still approves, after which the transfer is instant.
- Activate your UAN and keep Aadhaar seeded. Since August 2025, UAN activation uses Aadhaar face authentication rather than OTP, and the 2026 scheme makes UAN mandatory. Each job adds a member ID under the same UAN — you never get a second UAN, and if you have one, get them merged.
- Do not simply leave the balance behind. Leaving it dormant is not the same as transferring it: the five-year continuous-service clock only links up when the balance actually moves.
- A gap between jobs does not stop your existing balance earning interest. Under the EPF Scheme, 2026 interest stops only from the date the account becomes inoperative — paragraph 54 defines that, and paragraph 42(5) stops the interest. The commonly cited G.S.R. 1065(E) of 11 November 2016 did something narrower: it amended paragraph 72(6) of the 1952 scheme to continue interest for 36 months after retirement at or after 55, death, or permanent migration abroad. The age-58 cut-off is EPFO's stated administrative position in its FAQ, not a rule laid down by that notification.

Interest earned after you stop working is taxable. Once your employment ends, the interest credited each year on the balance you left behind is taxable as income from other sources, even though the principal remains exempt. EPFO has around ₹9,330 crore lying in unclaimed accounts — some of it earning taxable interest for people who have forgotten it exists.

20. EPS — the pension you rarely hear about

Funded by	Your employer's 8.33%, capped at ₹1,250 a month. Nothing from you.
Minimum service for pension	10 years
Pension age	58; early pension from 50 at a reduction of 4% for each year before 58
Minimum pension	₹1,000 a month — unchanged, despite repeated reports of an increase
How it is computed	$(\text{Pensionable Salary} \times \text{Pensionable Service}) \div 70$
Higher pension option	The window to opt for pension on actual salary is closed. Those who opted contribute at 9.49%.

If you leave before ten years

You do not lose the money. You take a **withdrawal benefit** instead of a pension, calculated on a factor table by length of contributory service. Under EPS, 2026 there is **no minimum service** for this — even a few months earns a proportionate amount — but it is claimable only **36 months** after your last contribution fell due, or on reaching superannuation age, whichever comes first. You can also keep the service alive instead by transferring it, and claim a pension later once you cross ten years in total.

Why EPS pensions are small. With pensionable salary effectively capped at ₹15,000, 35 years of service gives $(15,000 \times 35) \div 70 = \text{₹7,500 a month}$. That is the practical maximum for anyone who did not opt for higher pension. Plan your retirement income around your EPF corpus and other savings, not around EPS.

21. EDLI — free life cover you may not know you have

Maximum benefit	₹7,00,000
Minimum benefit	₹2,50,000 where the member had at least 12 months of continuous service; a floor of ₹50,000 otherwise
Who pays	Entirely the employer, at 0.5% of wages capped at ₹75 a month. You pay nothing. The 2026 scheme no longer writes the rate into the scheme text — it is now set by separate notification on periodic actuarial valuation, so the ₹75 cap can move without a scheme amendment.
What it covers	Death of the member while in service, from any cause
Governing scheme	The EDLI Scheme, 2026 (G.S.R. 526(E), 29 June 2026), notified alongside the EPF and EPS schemes
Two useful relaxations	A break of up to 60 days between jobs is ignored when testing continuous service, and cover extends to death within six months of the last contribution if the member was still on the rolls.

File your e-nomination anyway. Under the 2026 scheme e-nomination on the Member Sewa portal is **mandatory** and replaces the old paper Form 2. Contrary to a very common claim, a missing nomination does **not** force the family to obtain a succession certificate — the accumulations are payable to the member's **family as defined in the scheme, in equal shares**, usually on an affidavit of legal heirship with an indemnity bond above a prescribed amount. A succession certificate becomes relevant only where there is **no surviving family member**. Filing the nomination still removes weeks of paperwork at the worst possible time, and takes about ten minutes.

22. Practical checklist

- **Check which wage base your payroll uses.** If it is still basic + DA and your allowances exceed half your pay, the 50% deeming rule under the Code on Social Security, 2020 may mean you are being under-contributed.
- **File your e-nomination on the Member Sewa portal.** This is the highest-value ten minutes in this guide.
- **Transfer, never withdraw, when you change jobs.** It protects the five-year clock and the compounding.
- **Keep your own contribution within ₹2,50,000 a year** unless you accept slab tax on the interest above it.
- **Remember the 25% floor.** The most you can take as an advance is 75% of your balance, whatever "100%" appears to say.
- **If you resign, expect a 12-month wait** before you can take the whole balance. The old two-month rule is gone. Retrenchment is immediate; a resignation is not.
- **Do not count on taking 90% at 54.** That facility (old paragraph 68NN) does not exist in the 2026 scheme.
- **File Form 121, not 15G or 15H,** if you withdraw before five years and your income is below the taxable limit.
- **Read your passbook once a year,** after the July interest credit, and check every month of employer contribution is actually there.
- **If you left a job years ago, find that account.** It is probably still earning interest — and that interest is taxable.

23. Where EPF sits against the alternatives

PRODUCT	RETURN	RISK	ACCESS
EPF / VPF	8.25% declared for FY 2025-26	Very low	Advances from 12 months; 25% must stay in
PPF	7.1% notified for the quarter	Very low	15-year term, partial from year 7
NPS Tier I	Market-linked	Medium to high	15 years or age 60, whichever earlier
Equity mutual fund	Market-linked	High	Any time, capital gains tax applies

At 8.25% EPF is the highest-yielding fixed-return option most salaried Indians can access. Its weakness is not the return — it is that the money is hard to reach and the pension attached to it is small. Use EPF and VPF as the debt half of your retirement plan and build the growth half elsewhere.

Questions about your own EPF? Drop a comment or a DM — [@buildwithabinash](#)

General information, not financial advice. I am not a registered investment adviser and not a distributor of any product mentioned. The 8.25% figures are illustrations at a constant rate, not projections — the EPF rate is declared annually and is not guaranteed. Rules here reflect the EPF Scheme, 2026 (G.S.R. 525(E), 29 June 2026, in force 1 July 2026), the EPS, 2026 (G.S.R. 527(E)) and the EDLI Scheme, 2026 (G.S.R. 526(E)), both in force 30 June 2026, under the Code on Social Security, 2020; the wage-ceiling notification S.O. 2702(E) of 29 May 2026; the Income-tax Act, 2025 and the Income-tax Rules, 2026 in force from 1 April 2026; and the Finance Act, 2026. Four points are expressly unsettled and marked in the text: the revision of the wage ceiling to ₹25,000, whether the twice-a-year special-circumstances counter runs on the financial year or a rolling twelve months, the five-times cap on housing advances (press-reported, not verified against the gazette), and how fully EPFO's member portal reflects paragraph 46. Verify anything you act on at epfindia.gov.in and take advice from a qualified tax professional.